



CA INTER MAY 2026

AUDITING & ETHICS

NATURE, OBJECTIVE & SCOPE OF AUDIT

ONE SHOT



CHAPTER 1: Nature, Objective & Scope of Audit

➤ Origin & History of Audit:

Intro:	Investor & shareholder wanted to know financial position, Govt for collecting tax, trade union for settlement, etc → they need AUDITED FS to rely on → to boost user confidence
4 th Century BC:	Auditing has existed even in ancient times → reference to auditing is found in Kautilya's Arthshastra even in 4th century BC.
Latin Audire:	Word "audit" originates from Latin word "audire" meaning "to hear". In medieval times, auditors used to hear the a/c's read out to them to check that employees were not careless & negligence
1 st Auditor General:	first Auditor General of India was appointed in British India in 1860 → Presently Comptroller and Auditor General of India (C&AG) is responsible for auditing government.
ICAI	established as a statutory body → under an Act of Parliament in 1949

➤ Meaning of Audit:

Definition: [PSL]	- An audit is an independent examination of financial information of any entity, - whether Profit oriented or not, and - irrespective of its Size or Legal form, - when such an examination is conducted with a view to expressing an opinion thereon.
Analysis:	Independent: judgement is not subordinate to wishes or direction of another person (no bias → be objective), can not do audit of Brother's company, or on which auditor itself invested money Profit Oriented or not: Audit of NGO also. Size / Legal form: it can be big/small company, LLP/ Proprietor/ etc. Express Opinion: preparation and presentation of FS of an entity is responsibility of mngt of entity. The auditor expresses an opinion on FS by means of written audit report.

➤ The person conducting this task should take care to ensure that "FS would not mislead anybody". This he can do honestly by satisfying himself that:

Q1. The person conducting audit should take care to ensure that FS would not mislead anybody. Explain.

Hint → First Explain "Definition of Audit", Then below answer:

Trick:	ICAI Answer
FS proper bana hai n jaisa A.S bolta ha wesa	1. the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards ; and
Tabhi to use "True & Fair" bolenge	2. the statement of accounts present a true and fair picture of the operational results and of the assets and liabilities .
Entries-Supporting Check karo uss entry ka	3. the entries in the books of account are adequately supported by sufficient and appropriate evidence
Ki Koi entry skip to nhi hoi n	4. none of the entries in the books of account has been omitted in the process of compilation and nothing which is not in the books of account has found place in the statements.
Entries se G Ledger Account banta h	5. the accounts have been drawn up with reference to entries in the books of account.

Fir upar wali saari info.
Se F.S. banta hai..

6. the **information** conveyed by the statements is **clear and unambiguous**;

➤ Objectives of Audit:

Q2. auditor expressed opinion on FS without ascertaining whether FS is free from MMS. Explain w.r.t SA 200.

As per SA-200 "Overall Objectives of the Independent Auditor", in conducting an audit of financial statements, the overall objectives of the auditor are:

- To **obtain reasonable assurance** about whether the FS as a whole are **free from MMS**, whether due to fraud or error, thereby enabling the auditor to express an **opinion on whether the FS are prepared, in all material respects**, in accordance with an applicable FRF; and
- To **report on the FS**, and **communicate as required by the SAs**, in accordance with the auditor's findings

Therefore, it can be concluded that CA Jatin did not comply with the objective of audit as stated in SA 200.

[Above answer End]

Analysis from above:

- Not absolute assurance (not 100%)** → It is "**reasonable assurance**" → Although it is a **high-level of assurance**, but it is **not complete assurance**. (not complete guarantee), Absolute assurance means complete guarantee. → Audit carried with professional competence & Skills, apply SA's, obtain evidence & Form opinion
- Misstatement** in FS can be due to **Fraud or Error**. → obtain reasonable assurance that FS is free from MMS.
- So obtaining reasonable assurance that FS is free from MMS → enables auditor to express opinion the FS prepared in **all material aspects, as per FRF**
- Opinion communicated by auditor as per audit findings through **written report as per SA's**.

Q3. Auditor feels that Audit is a guarantee, is he correct ? and what is objective of audit as per SA's ? (RTP'24)

Hint: Mention above "**Objective of audit**" & "**Analysis from Above**" → Perception of auditor is not correct → not provide guarantee that FS is free from FS, it's just reasonable assurance

Q4. Lalji Bhai has purchased shares of a company → the audited FS of company provide good picture of company. he is absolutely satisfied that money invested by him is safe and there is no chance of losing his money.

Answer: → Audit does **not provide assurance to investor in shares regarding safety of his money**. Share prices of securities are affected by range of factors. Audit only provides **reasonable assurance** that FS are free from material misstatement whether due to fraud or error. Hence, thinking of Lalji Bhai is not correct.

➤ Scope of Audit:

[Trick: Audit aisi karo ki sab kuch cover ho jaye.. **All relevant aspect** → Like "**Disclosure of FS**" (wo "**reliable**" hone chahiye) → baaki kuch chize chod dena jo tumhari "**competency**" se bahar h]

1) Coverage of all aspects of entity:

Audit of FS should be organized adequately to cover all aspects of entity **relevant to the FS** being audited.

2) Proper disclosure of financial information

In forming his opinion, the auditor should also decide whether the **relevant information is properly disclosed** in the FS subject to statutory requirements, where applicable

Q5. The auditor determines whether the relevant information is properly disclosed in the FS by: (MTP 2024)

- Mngt is responsible for preparation of FS → So, considering the **judgments that Management** has made in preparing the FS accordingly, the **auditor assesses the selection & consistent application of accounting policies**, the manner in which the information has been classified, and the adequacy of disclosure.

Eg.: method of charging depreciation on fixed assets or choosing appropriate method for valuation of Stock.
b) FS prepared based on "**Historical Financial Information.**"

3) **Reliability and sufficiency of financial information:**

To form an opinion on the FS, the auditor should be reasonably satisfied as to whether the information contained in the underlying accounting records and other source data is **reliable** and sufficient as the basis for the preparation of the financial statements.

The auditor **assesses the reliability and sufficiency of the information** contained in the underlying accounting records and other source data by **(AT)**

- making a study and **evaluation of Accounting systems and internal controls** and
- carrying out such **other Tests, enquiries and other verification** procedures of accounting transactions.

4) **What is NOT Included in Scope of Audit:**

The auditor is **not expected to perform duties which fall outside the scope of his competence.** For eg.,

- Professional skill required of an auditor does not include that of a **technical expert** for determining physical condition of certain assets. → need Qualified engineers in respective fields
- Authentication of Docs** (Auditor is not an expert in that)
- Investigation:** Auditor is not an official investigation (not have power of search/seizure/oath)

Investigation	Audit
Investigation is a critical examination of the accounts with a special purpose.	SA 200 → objective of audit is to obtain reasonable assurance about whether the FS as a whole are free from MMS, whether due to fraud or error, thereby enabling the auditor to express an opinion.
scope of investigation is specific and narrow.	scope of audit is general & broad
Example, if fraud is suspected → do investigation	

Q6. "**Choosing of appropriate A/cing policies is responsibility of mngt**". Do you agree? **Discuss duty of auditor.**

Hint: Choosing of appropriate accounting policies is responsibility of management. The role of auditor lies in evaluating selection and consistent application of accounting policies by management- "**Refer to scope of audit- what it includes**". It's "**Point no. 2**" of "**Scope of Audit**".

Q7. Company has received a notice from Tribunal for not following certain environmental regulations involving hefty monetary penalty. same is not stated in notes to accounts in FS. Whether it's in scope of auditor ?

Answer: Proper disclosure of financial information is well within scope of audit.

Q8. from last few year mngt consistently applying same inventory valuation → this yr change the method of valuation without proper disclosure (higher profit) → does it fall within audit scope. [Hint Qn] → RTP'25

Hint: purpose of audit → is to **enhance degree of confidence** of intended users of FS. **Scope of audit** of FS includes coverage of all aspects, reliability and sufficiency of financial info and proper disclosure of financial Info
⇒ **Now explain Given case**, & Mention "**Point 2 of Scope of Audit**" → Thus, proper disclosure of financial info is well within scope of audit.

Q9. One Case Study → company missed some revenue, some expenses voucher missing etc. → mngt is saying it's outside Auditor's Scope → [Hint Qn] → RTP'25

Hint: Refer above Whole "**Scope of Audit**" (Except point 4) → So management's contention is not correct

Q10. A huge fire broke out in NOIDA plant of KT Limited. Plant assets comprising building, machinery. for assessing loss, the regional office of insurance PSU also appointed a CA for verification of books of accounts of the company & circumstances surrounding the loss. Would the report by CA in nature of audit.

Hint: specific objective to determine genuineness of loss and any issue affecting liability of insurance company. It is an investigation and not in nature of audit report.

Q11. A CA is asked to check accounts whether fraud exists. State whether it is a reasonable assurance engmnt.

Answer: It is not a reasonable assurance engagement. It is in nature of investigation.

Q12. An audit is distinct from investigation. However, it is quite possible that sometimes investigation results from the prima facie findings of the auditor. Discuss. [Old]

Hint: Discuss difference between "Audit & Investigation", and below

Therefore, audit is never started with a pre-conceived notion about state of affairs; about wrongdoing; about some wrong having been committed. The auditor seeks to report what he finds in normal course of examination. However, it is quite possible that sometimes investigation results from the prima facie findings of auditor. It may happen that auditor has given some findings of serious concern. Such findings may prompt for calling investigation.

Q13. Company Suspects that some employees of company may be involved in making fraudulent payments to dummy worker, should we appoint Auditor ? Or it's investigation ? (MTP'24)

Hint: Discuss difference between "Audit & Investigation", & Such assignment is in the nature of "investigation"

Q14. In appointment letter to auditors → "Auditor shall be responsible for detecting the frauds that may happen in the company during the FY".? Discuss in the light of scope of audit

Hint: Discuss difference between "Audit & Investigation", & Such assignment is in the nature of "investigation" → inclusion of such a clause in the engagement letter is uncalled for and outside the scope of audit.

➤ Audit is Mandatory or Voluntary? Types of Audits:

Audit is **not legally obligatory** for all types of business organization or institutions. On this basis audits may be of two broad categories i.e., audits required under law and voluntary audits.

(i) Audit required under law	(ii) In the voluntary category
The organizations which require audit under law are the following: e.g., 1) Companies under Companies Act. 2) Banking companies. 3) other statutory bodies required by their regulators or by specific Act. Etc.	• Audits of the accounts of proprietary entities, partnership firms, Hindu undivided families, etc. • i.r.t such accounts, there is no basic legal requirement of audit. • Such enterprises as a matter of internal rules require audit. • May be required to get their A/c's audited on the directives of Govt. for various purposes like sanction of grants, loans, etc.

➤ Who Appoints Auditor:

It's depends upon type of entity, nature of audit etc.

Generally, an auditor is appointed **by owners**, Or.

In some cases, by constitutional or government authorities in accordance with applicable laws and regulations

Companies:	Appointed by members (shareholders) in Annual General Meeting (AGM).
Govt. Companies:	Auditor is appointed by Comptroller and Auditor General of India (CAG), an independent constitutional authority
Firm:	auditor is appointed by partners of firm.
L&R:	In some situations, appointed by a Govt. authority in accordance with some law or regulation. For example, an auditor may be appointed under tax laws by a govt authority

➤ To Whom to Submit Report:

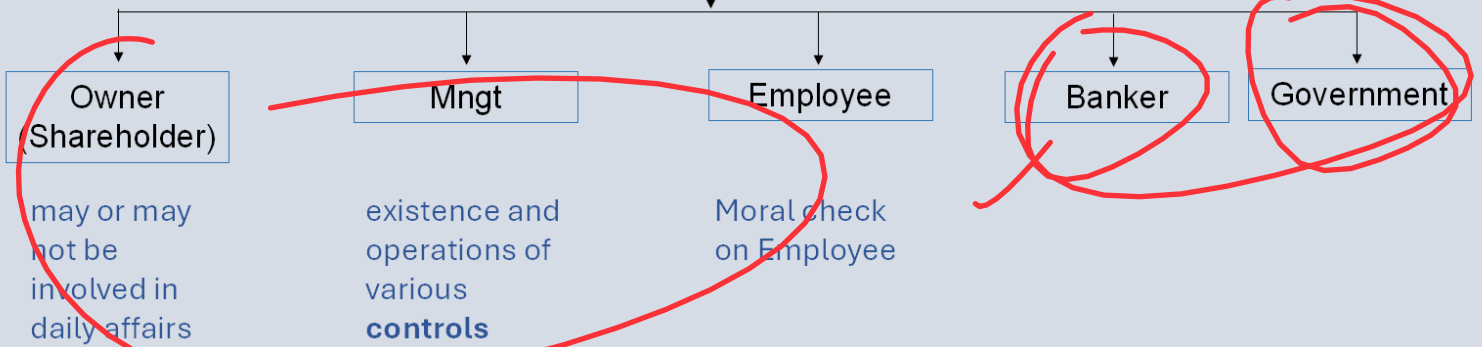
The outcome of an audit is **written audit report** in which auditor expresses an opinion. The report is submitted to **person making the appointment**. In case of companies, these are shareholders- in case of a firm, to partners.

Advantage of FS Audit

सबको फायदा होगा

क्योंकि **High Quality Info.** मिलेगी

तो सबको मतलब सबको



➤ Advantages of Audit of FS:

Q15. there are other advantages of audit, even to those enterprises where audit is not compulsory. Explain. [Old]

Trick: Dekho Bhai... Audit se Sabko advantage hi hoga .. Kyuki wo "High Quality Info." Provide karti h > sabko mtlb sabko.....

"Muje Khudko" faayda hoga → Auditor mere "internal control" wagera check karega → meri "weakness" Nikalega →
→ Mere "Employee" ko → "Govt" ko. → Baaki "lenders" ko bhi

- 1) Audited accounts provide **high quality information**. It **gives confidence to users** that information on which they are relying is qualitative and it is the outcome of an exercise carried out by following Auditing Standards recognized globally.
- 2) An audit reviews **existence and operations of various controls** operating in any entity. Hence, it is useful at pointing out deficiencies.
- 3) In case of companies, **shareholders may or may not be involved in daily affairs** of the company. FS are prepared by mngt consisting of directors. As shareholders are owners of company, they need an independent mechanism so that financial info. is qualitative & reliable. Hence, their interest is safeguarded by an audit.
- 4) It acts as a **moral check on the employees** from committing frauds for the fear of being discovered by audit.
- 5) Audited FA are helpful to **government authorities for determining tax liabilities**
- 6) Audited FS can be relied upon by **lenders, bankers** for making their credit decisions i.e. whether to lend or not to lend to a particular entity.
- 7) An audit may also detect **fraud or error** or both.

Q16. Whether audited FS of a company would help in protecting financial interests of shareholders. [OLD]

Hint: Refer Above Point no.3 Audited financial statements of a company help in protecting financial interests of shareholders of a company. (If Qn is of higher marks → Then explain all or 5-6 points of above)

➤ Inherent Limitation of Audit:

Q17. factors giving rise to **inherent limitations due**, cannot provide a guarantee that FS free from MMS (May'24)

Q. MNO Ltd requested the auditor CA P to provide for **absolute assurance**. Advise. [OLD]

As per SA 200: The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain **absolute assurance** that the FS are free from MMS due to fraud or error.

Most of the audit evidence on which the auditor draws conclusions and bases the auditor's opinion being **persuasive rather than conclusive**. → This is because there are inherent limitations of an audit.

Trick → "Auditor ki galti" → "Mngt ki Chaalaki" → "Cost Benefit" & "Future"

Nature of Financial Reporting	Preparation of FS involves judgment by Mngt as require by applicable FRF (It involve subjective decisions or uncertainty, acceptable interpretations or judgments). Therefore, auditor may not be able to obtain absolute assurance that FS are free from MMS due to frauds or errors. One premises for conducting audit is that management acknowledges its responsibility of preparation of FS in accordance with applicable FRF & for devising suitable IC. However, such controls may not have operated to produce reliable financial info. due to their own limitations.
Nature of Audit Procedures  Student Specific Code	Q18. Give one example each for such practical and legal limitations to obtain evidence: (a) & (b) below There are practical and legal limitations on auditor ability to obtain evidence such as: a) Practical Limitation: auditor does not test all transactions and balances. (testing samples) b) Legal Limitation: Possibility that mngt or others may not provide, auditor can not force mngt to provide complete information. c) Fraud may involve sophisticated and carefully organised schemes → when mngt itself involved in fraud (may produce fake docs)



	[Collusion among employees: To override the I.C., i.e., Warehouse manager may agree that Goods are received (but not yet rec.) & colluded with finance to make pymnt. d) The existence and completeness of <u>related party relationships and transactions</u> → Auditor may not be able to identify all the RP & RPT by his audit procedures
Investigation:	An audit is <u>not an official investigation</u> into alleged wrongdoing.
Timeliness of FR & Cost/Benefit	Timeliness of Financial Reporting and the Balance between Benefit and Cost: <u>Relevance of information, and thereby its value, tends to diminish over time</u>, and there is a balance to be struck between the reliability of information and its cost. Eg. For continuous 2 yrs info. Provided by mngt was correct, now in 3rd yr, auditor relied on last yr info, but there was some new event also occur this yr → So info obtained by auditor is not timely, lost it's relevance
Future Events:	<u>Future events</u> or conditions that may cause entity to cease to continue as <u>going concern</u> Future events or conditions <u>may affect an entity adversely</u>. Adverse events may seriously affect ability of an entity to continue its business

In view of the above, CA P cannot provide audit absolute assurance to MNO Ltd in respect of its branches

Q19. Nature of financial reporting itself is one of causes of inherent limitations of FS Audit. Explain (MTP'24)

Hint: Refer above "Nature of Financial Reporting",

Q20. After the completion of audit, there were found MMS due to fraud in the FS which were not noticed & reported by the auditor. Mngt alleges that it is failure on the part of auditor. Comment. [OLD]

Answer: → Because of the limitations of an audit, there is an unavoidable risk that some MMS of the FS may not be detected, even though the audit is properly planned and performed in accordance with SAs.

- So, subsequent discovery of a MMS in FS → does not indicate a failure to conduct an audit as per SAs.
- But, inherent limitations are not a justification for auditor to obtain less-than-persuasive audit evidence.
- Whether the auditor has performed an audit in accordance with SAs is determined by the audit procedures performed in the circumstances, the SAAE obtained as a result thereof and the suitability of the auditor's report based on an evaluation of that evidence in light of the overall objectives of the auditor.

Q21. Purchase manager & Accountant colluded to Bypass Internal control & released Fake payments. State objective of Audit & why auditor can provide only reasonable assurance (Hint → RTP Jan'25)

Hint: Mention "Objectives of audit" & mention just heading of above "inherent limitation" → only explain "Nature of Financial Reporting" in detail → further, Collusion is a significant limitation of internal controls. → Given these factors, the auditor cannot provide absolute assurance

Q22. Auditor were satisfied with Control system after carried out required procedures. → sample checking of purchases, traced purchase bills to GST portal. → However, later on, it was discovered that purchase manager booking fake purchases of small values by colluding with unethical dealers. Payments to these dealers were also made in connivance with accountant. → The partners of firm blame auditors. (SM)

Answer → It is example of failure of I.C. of the firm. The I.C. has not operated due to collusion between employees which is a "limitation of I.C." itself. The auditor has relied upon I.C. It is very nature of financial reporting that Mngt is responsible for devising suitable I.C. This is an "inherent limitation of audit."

Q23. audit does not provide absolute assurance. Discuss how nature of audit procedures itself is reasons Or, Q. Practical and legal limitations on the auditor's ability to obtain audit evidence.

Q. In case of certain subject matters, limitations on the auditor's ability to detect MMS are significant.

Q. Case Study (RTP'26) → Mngt Delay in providing Docs, Some transaction appear to be with Related Party (mngt deny), Doubt over Authenticity of some documents, verified on test basis only (not all) → explain the inherent limitations [RPT May'26 → It's Hint → refer Full Qn & answer in Detail in Qn baak]

Hint: Discuss Inherent Limitation point "Nature of Audit Procedures"

Q24. Matter of difficulty, time, or cost involved is not in itself a valid basis for auditor to omit audit procedure for which there is no alternative or to be satisfied with audit evidence that is less than persuasive. [Old],
Q. Auditor has to form an opinion on FS within a reasonable period of time and at a reasonable cost. Explain above statement with reference to "Timeliness of Financial Reporting & Balance between Benefit & Cost" [OLD]

Hint: Matter of difficulty, time, or cost involved is not in itself a valid basis for the auditor to omit an audit procedure. Appropriate planning assists in making sufficient time and resources available to conduct audit.

Notwithstanding this, the relevance of info, & thereby its value, tends to diminish over time, and there is a balance to be struck between the reliability of information and its cost → so form opinion on reasonable period of time and at a reasonable cost → impracticable to address all info. / pursue all matter exhaustively

➤ Relationship of auditing with other discipline:

The field of auditing as a discipline in simple words involves review of various assertions; both in financial as well as in non-financial terms, audit can be performed only if the person also possesses a good knowledge about the fields of which he is conducting such a review:

Auditing is related with Following Fields:

Accounting:	- Auditing reviews the FS which are nothing but a result of the overall accounting process - The auditor to have a sound knowledge of generally accepted principles of accounting.
Law:	An auditor should have a good knowledge of business laws affecting the entity
Economics:	Auditor is expected to be familiar with the overall economic environment of the client.
Behavioral Science:	- Knowledge of human behaviour is essential for an auditor to effectively discharge his duties. - Financial auditor deals basically with the figures contained in the FS but he shall be required to interact with a lot of people in the organisation.
Statistics & Mathematics:	Auditor is also expected to have the knowledge of statistical sampling for meaningful conclusions and mathematics for verification of inventories (i.e., sampling procedure)
Data Processing:	- EDP auditing in itself is developing as a discipline in itself. - Today, organisations are witnessing revolution in the field of data processing of accounts. - With such a phenomenal growth in the field of computer sciences, the auditor should have good knowledge of the components, general capability of the system and the related terms.
Financial Management:	The auditor is expected to have knowledge about various financial techniques such as working capital management, fund flow, ratio analysis, capital budgeting etc.
Auditing and Production:	Good auditor is one who understands the client and his business functions such as production, cost system, marketing etc.

Barcode – Student Specific Code

➤ What is Engagement:

Engagement:	It means → an arrangement to do something → In context of auditing, it means a formal agreement between auditor and client under which auditor agrees to provide auditing services. It takes the shape of engagement letter.
External Audit Engagement:	The purpose of external audit engagements is to enhance the degree of confidence of intended users of FS. Such engagements are also reasonable assurance engagements. For example, in India, companies are required to get their annual accounts audited by an external auditor. Even non-corporate entities may choose to have their accounts audited by an external auditor because of benefits of such an audit.

Summary of Engagements Standards:

Engagement Standard



Assurance Service

Non-Assurance Service

Historical FS

Other than
Historical FS

AUDIT

REVIEW

SRS

AUP

Compliance

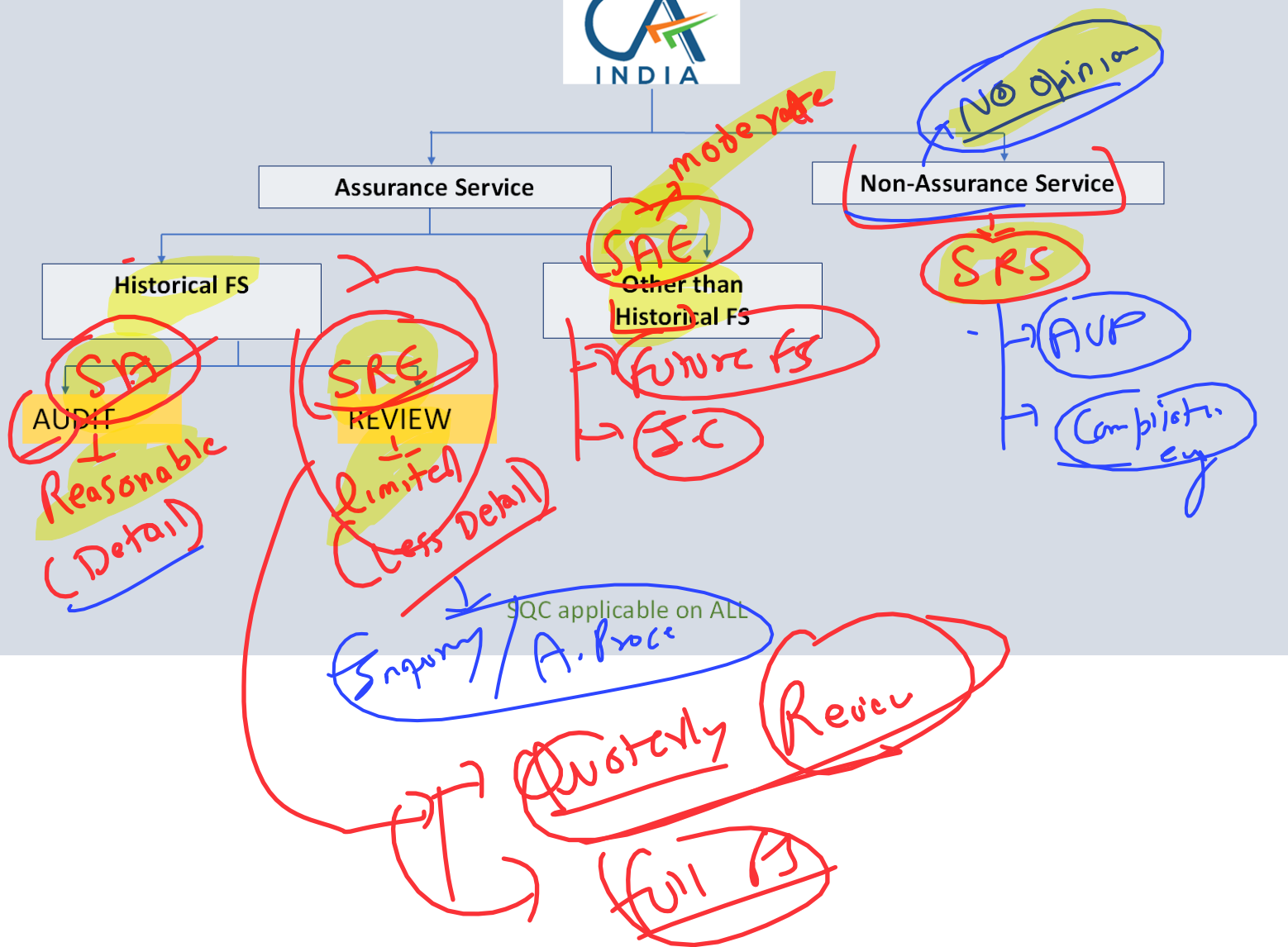
SQC applicable on ALL

Inquiry / A. Proc

Quotely

Review

Full FS



Assurance Engmnt:	On His. FS	Audit →	SA's (Resaonable Assurance)
		Review →	SRE (Limited Assurance)
	On Non FS	SAE	
Non Assurance Engmnt:	SRS		

SQC is applicable on all of the above

➤ Types of Engagement Standards:

Standards on Auditing (SA's)	Apply in audit of historical financial information [Reasonable assurance] Some Brief: Apply in context of an audit of FS by an independent auditor → audit of historical info. establish high quality benchmarks and are followed by auditors in conducting audit of FS. SA's issued on wide spectrum of issues in the field of auditing ranging from overall objectives of independent auditor, audit documentation, planning an audit of FS, identifying, and assessing ROMM, audit sampling, audit evidence and forming an opinion and reporting on financial statements Examples: SA 200, SA 230 (Audit documentation), SA 500 (Audit Evidence) etc.						
Standards on Review engmnt. (SRE)	Apply in Review of historical financial information. [Limited assurance] 1) It provides assurance which is lower than Reasonable assurance engmnt (audit). 2) So that review involves fewer procedures as compared to audit, review provides assurance to users; it also involves obtaining sufficient appropriate evidence. For example, when an auditor performs review of <u>interim financial information</u> of an entity. <table> <tr> <td>SRE 2400</td><td>Engagements to Review Historical Financial Statements</td></tr> <tr> <td>SRE 2410</td><td>Review of Interim Financial Information Performed by the Independent Auditor of the Entity</td></tr> </table>	SRE 2400	Engagements to Review Historical Financial Statements	SRE 2410	Review of Interim Financial Information Performed by the Independent Auditor of the Entity		
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SRE 2410	Review of Interim Financial Information Performed by the Independent Auditor of the Entity						
Standards on Assurance eng. (SAE) (Moderate Level of Assurance)	Apply in assurance engagements dealing with subject matters other than historical financial information. → not of historical financial information → do not include "audit" or "review" of historical financial information. (May relates to Provides assurance regarding reasonability of assumptions forming basis of projections and related matters, or non-financial matters such as → design and operation of internal control in an entity) <table> <tr> <td>SAE 3400</td><td>Examination of Prospective Financial Information (Limited Assurance)</td></tr> <tr> <td>SAE 3402</td><td>Assurance report on Controls at sub-service organisation (Reasonable)</td></tr> <tr> <td>SAE 3420</td><td>Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus (Reasonable)</td></tr> </table>	SAE 3400	Examination of Prospective Financial Information (Limited Assurance)	SAE 3402	Assurance report on Controls at sub-service organisation (Reasonable)	SAE 3420	Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus (Reasonable)
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Standards on Related Services (SRS)	Apply in engagements to perform agreed-upon procedures regarding financial info May require the auditor to perform certain procedures concerning individual items of financial data, say, accounts payable, accounts receivable, purchases from related parties and sales and profits of a segment of an entity, or a FS, say, a balance sheet or even a complete set of FS. An engmnt in which practitioner may be called upon to assist management with the preparation and presentation of historical financial information without obtaining assurance on that information (No Opinion/No Assurance) <table> <tr> <td>SRS 4400</td><td>Engagements to perform agreed-upon procedures regarding financial info.</td></tr> <tr> <td>SRS 4410</td><td>Compilation engagements</td></tr> </table>	SRS 4400	Engagements to perform agreed-upon procedures regarding financial info.	SRS 4410	Compilation engagements		
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SRS 4410	Compilation engagements						
Standards on Quality control (SQC)	To control the quality of firm which provide above services (Audit, Review, other assurance & related service engagements - applied for all services covered by Engagement Standards.)						

SQC 1

Requires auditors/practitioners to establish system of quality control so that firm and its personnel comply with professional standards and regulatory & legal requirements and reports issued are appropriate

$(SA + SRE + SAE + SRS = \text{Engagement Standards})$

Purpose of these Engt Standards (Qn Asked)

The purpose of issue of these standards is to establish high quality standards and guidance in the areas of financial statement audits and in other types of assurance services

➤ **Some Keywords used Above:**

Audit:	Reasonable assurance engagement (objective is reduction in assurance engagement risk to an acceptably low level)
Review	Limited assurance engagement (objective is a reduction in assurance engagement risk to a level that is acceptable)
Historical financial info. (HFI)	information expressed in financial terms in relation to a particular entity, derived primarily from that entity's accounting system, about economic events occurring <u>in past time periods</u> or about economic conditions or circumstances at points in time in the past. [<u>Past Events: Audit or Review</u>]
Prospective Financial info. (PFI)	Financial information based on assumptions about events that may occur in the future and possible actions by an entity. It can be in the form a forecast or projection or combination of both. <u>Future Events</u>: it relates to future events. <u>Evidence to support assumption</u>: evidence may be available to support the assumptions on which the prospective financial info. is based, such evidence is itself generally future-oriented. <u>No opinion whether result achieve</u> not in a position to express an opinion as to whether the results shown in the prospective financial information will be achieved. <u>Nothing has come to practitioner's attention to suggest that these assumptions do not provide a reasonable basis for the projection.</u> <u>"Moderate"</u> level of assurance

Q25. Assurance engagements are not restricted to "audit" of financial statements alone. Discuss.

Hint: Refer "SA", "SRE", "SAE", Explain them in Brief, then give Examples of them

Q26. there are other advantages of Standards on Auditing (SAs) apply in "audit of historical F.I" whereas SREs apply in "review of historical financial info." Explain in detail giving examples. (RTP'24)

Hint: → SA's apply in "Audit of historical FS", SRE in "review of historical FS". → SA's apply in Audit, so reasonable assurance → But SRE give limited assurance

- Explain "Historical Financial Info" (As given in above table)
- Audit & review are 2 different terms. Audit → reasonable assurance engmt, objective to reduce assurance engagement risk to an acceptably low level. But, review → limited assurance engagement, reduction in assurance engagement risk to a level that is acceptable in the circumstances of engmt
- SA's issued wide spectrum issues for audit (but not limited to) → objectives, Documentation, planning, sampling etc.
- Give some Examples → Provide Few "SA's Number & Name", as well as some "SRE Number & Name"

Q27. CA X appointed for assurance report on its FS prepared on the basis of historical financial info., it involve gathering SAAE for limited conclusions. Identify type of engagement & two features ? (MTP 2024)

Answer: It's Review engagement (Gathering SAAE for limited conclusion), two features are as follows:

- It provides lower level of assurance than reasonable assurance engagement
- It performs fewer procedures than reasonable assurance engagement

Q28. Assurance on its PFI → . Identify type of engagement & How PFI different from HFI ? (HINT → Jan'25)

Hint: Standards on Assurance Engagements → provides "moderate" level of assurance. → obtains SAAE that

management's Assumptions of PFI are not unreasonable, → the PFI is properly prepared on the basis of the assumptions and → it is properly presented and all material assumptions are adequately disclosed.

- The auditor is, therefore, not in a position to express an opinion as to whether the results shown in the prospective financial information will be achieved.
- Now mention difference between "Historical FI" vs "Prospective FI"

➤ Assurance Engagement:

Meaning:	In which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.						
5 Elements:	3 parties:	Practitioner	• a person who provides the assurance • Practitioner is broader than auditor • Audit is related to historical information whereas practitioner may provide assurance not necessarily related to historical financial information.				
		Responsible party	Party responsible for preparation of subject matter.				
		Intended users	persons for whom an assurance report is prepared. These persons may use the report in making decisions.				
	Appropriate Subject matter:	It refers to the information to be examined by the practitioner (Eg. Financial info. in FS)					
	Suitable Criteria:	These refer to benchmarks used to evaluate the subject matter like standards, guidance, laws, rules and regulations.					
	SAAE:	The practitioner performs an assurance engagement to obtain sufficient appropriate evidence. It is on the basis of evidence that conclusions are arrived, and an opinion is formed by auditor. <table><tr><td>Sufficient</td><td>relates to Quantity of evidence</td></tr><tr><td>Appropriate</td><td>relates to Quality of evidence</td></tr></table> One evidence may provide more comfort than another evidence (Comfort is Qualitative → so it's appropriate)		Sufficient	relates to Quantity of evidence	Appropriate	relates to Quality of evidence
	Sufficient	relates to Quantity of evidence					
Appropriate	relates to Quality of evidence						
Written Report:	A written report is provided containing conclusion that conveys the assurance about the subject matter. (Outcome of subject matter)						

Q29. An assurance engagement involves a 3 party relationship. Discuss meaning of 3 parties in such an engmnt.

Hint: Refer above 3 parties

➤ Some Differences:

Audit	Review
Reasonable assurance engagement	Limited assurance engagement (Moderate level)
Higher level of assurance	provides lower level of assurance than audit.
Inquiry, inspection, observation, analytical procedure etc.	involves fewer procedures and gathers sufficient appropriate evidence on the basis of which limited conclusions can be drawn up (generally analytical procedure)

both "audit" and "review" are related to FS prepared on the basis of historical financial information.

Reasonable assurance engagement	Limited assurance engagement
provides high level of assurance .	provides lower level of assurance than reasonable assurance engagement .
It performs elaborate and extensive procedures to obtain sufficient appropriate evidence..	It performs fewer procedures as compared to reasonable assurance engagement.
It draws reasonable conclusions on the basis of sufficient appropriate evidence.	It involves obtaining sufficient appropriate evidence to draw limited conclusions .
Example: Audit engagement .	Example review engagement .

Q30. Company requests its auditor to provide an **assurance report on the financial info** for 1st quarter of a year by **skipping required detailed procedures**. What would be nature of such report? Whether SAAE required?

Answer: Such report would be in nature of "review". However, auditors would have to obtain SAAE.

Q31. Explain difference between reasonable assurance engagements and limited assurance engmnt, [MTP May25]

Hint: Refer above notes

➤ **Duties in relation to Engagement and Quality Control Standards**

It is the **duty of professional accountants** → to see that Standards are followed in engagements undertaken by them. Ordinarily, these are to be followed by professional accountants.

However, a situation may arise when a **specific procedure as required in Standards** would be **ineffective** in a particular engagement. In such a case →

- **Document:**
 - ✓ How **Alternative procedures** performed achieve the purpose of required procedure.,
 - ✓ **Reason for departure** has also to be documented unless it is clear.
- **Further, his report should draw attention to such departures.**

It is also to be noted that a mere disclosure in the report does not absolve a professional accountant from complying with applicable Standards.

Q32. CA. P Babu is **conducting audit** → He was **not able to obtain external confirmations** from certain debtors (mandated by SA) → So, he **relied upon sale details** to these parties, **e-invoices, e-way bills** and traced payments in bank accounts. He was reasonably satisfied with audit evidence obtained. Is there any other reporting duty cast upon him relating to not following a mandated procedure in one of SA's?

Answer: → He is required to document how alternative procedures performed achieve the purpose of required procedure. Reason for departure has to be documented. His report should draw attention to such departure.

➤ **QUALITIES OF AN AUDITOR:**

Q33. Explain qualities of Auditor. [OLD]

Answer: → It is not enough to realise what an auditor should be.

An auditor is concerned with the **reporting on financial matters** of business and other institutions.

Financial matters inherently are to be set with the problems of **human fallibility; errors and frauds** are frequent.

- **CCD FGHI I PRT:** Caution, clear, Discretion firmness, good temper, headedness, integrity, industry, judgement, patience, reliability & Tact are some of qualities which an auditor should have. In short, all those **personal qualities** that go to make a **good businessman** contribute to the making of a good auditor.

In addition, he must have the **shine of culture** for attaining a great height. He must have the highest degree of **integrity** backed by adequate **independence**.

The auditor, who holds a position of trust, must have the basic **human qualities** apart from the **technical requirement of professional training and education**. He is called upon constantly to **critically review financial statements** and it is obviously useless for him to attempt that task unless his own knowledge is that of an expert.

An exhaustive knowledge of accounting in all its branches is the sine qua non of the practice of auditing. He must know thoroughly all accounting principles and techniques.

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CONCEPT SECTION:

➤ Why are Standards needed?

- Standards ensure audit quality.
- Standards ensure carrying out of audit against established benchmarks at par with global practices.
- Standards promote uniformity as audit of financial statements is carried out following these Standards.
- Standards improve quality of financial reporting thereby helping users to make diligent decisions.
- Standards equip professional accountants with professional knowledge and skill.



THANK YOU